

Case 2: HardHead Helmets

Bain, 2nd Round

The Problem

Our client is private equity firm considering taking private a leading manufacturer of bicycle helmets. Should they?

Information Gathering

Read this information well before you give the case. Share this information in each bullet only if the candidate asks for it in a clear and deliberate way. For bullets with “Explore with candidate” sub-points, make the candidate answer the associated question completely.

Market Share – The company is the clear market leader with 60% share.

Competition – Existing competitors have small share. However, there are some new entrants that are still small but growing quickly, including Nike and Reebok.

Channels – Historically, HardHead has sold primarily through the Mom-and-Pop specialty bike retailer channel. Channel mix has recently moved to 50% discounters (e.g. Wal*Mart) and it looks like discounters will dominate in future.

Explore with candidate: How are these changes in distribution channel going to effect the company’s future prospects?

Good Answer: Margins will come under pressure from discounters. But more importantly, competitors such as Nike will have a tremendous advantage in the discounter channel due to greater scale and leverage in distributor relationship. Also, a recognizable consumer brand (especially with the sports image of Nike) creates competitive advantage in discounter channel where an expert bike-shop salesperson is not there to push the HardHead product.

Cost Position – HardHead and all competitors are manufacturing in Asia, so costs are very low. No competitor is likely to be able to realize any greater cost advantage.

Don’t let the candidate get distracted in finding cost savings – this is not that kind of case.

Regulatory Issues – In the last 5 years, most states passed helmet laws.

Explore with candidate: What impact does this fact have? Draw a graph of revenue over the past five years and projecting into the next five years.

Good Answer: This drove a significant increase in sales as helmets were purchased for the first time. This event will not be repeated, so sales will level off.

Customer Segments – The customer segments that HardHead sells to primarily are the Adult Cycling Enthusiast segment, the Casual Biker segment, and the Under 18 segment.

Explore with candidate: How would you expect the purchase behavior to differ between these segments? What does each segment want in a helmet?

Good Answer: Adults purchase a new helmet infrequently (only after a crash or significant wear) while children must have new helmets every few years as their head size grows. Adult Cycling Enthusiasts are more concerned about having the coolest gear and tend toward more fashion-forward designs. The Casual Biker is more conservative in their fashion but still wants something that looks cool. Childrens' helmets are purchased by their parents who care about safety but influenced by the kids who care about cool.

For strong candidate, explore: What would you expect the size of each of these segments to be? What are the implications for HardHead's future earnings?

Good Answer: Let the candidate come up with all of the assumptions and then work the math. Actual numbers don't matter much as long as the assumptions are reasonable and the math is done correctly. Note that 100M households is the standard assumption in consulting. Assume 100M households, 50% have children with 2 children per household, 75% of children ride bicycles, therefore: 75M Under 18 customers. Assume 2% of adults are Cycling Enthusiasts, or 2M. Assume 20% of adults are Casual Bikers, or 20M. Since the helmet laws created a large number of one-time purchases, we need to rely on the Under 18 market and new entrants to the adult segments for ongoing sales.

Product – From a safety standpoint, there is no new innovation in design. From a fashion standpoint, there is much innovation, especially by the new entrants.

If the candidate is having trouble exploring all of the above topics, provide some direction to help them along (e.g. ask "Do you think that there might be any government regulation that would impact past or future sales?")

Conclusion

A star candidate will see that his/her time is nearly up and will present a recommendation for the PE firm without prompting. If the interview is within 3 minutes of the end, ask:

“The partner from the PE firm just walked into the room and wants to know if he should do the deal.”

Good Answer: The short answer is ‘No.’

- HardHead has been experiencing exceptional growth due to the one-time market expansion caused by new helmet laws and its historically strong market share. This unsustainable growth would result in an overvalued acquisition price.
- New market entrants by Nike, Reebok and others will quickly steal share as consumers gravitate toward the general sports-affiliation of these well-known brands.
- Bike helmets have been largely utilitarian, but the sports brands are likely to quickly move helmets into the fashion arena, putting HardHead at a significant disadvantage.
- Furthermore, with the channel shifting strongly away from the specialty bike retailers and toward the mass discounters, the national sports fashion brands will have more leverage with the retailers, possibly commanding better margins, placement, assortment, and advertising support.
- The only scenario in which the firm might consider the acquisition is if they have interest in another fashion brand that might be combined with HardHead to allow it to compete against the new fashion helmet brands such as Nike.